



**Related Pary –
Functional System Requirements document**

Dec 2018



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1 Introduction and scope

- 1.1 In order to implement the policies and procedures laid down in the *Conflict of Interest and Related Party Manual* in respect of Related Party Transactions, it is envisaged that the Related Party Register shall be maintained in the system to ensure real time updates of the Related Party and Related Party transactions list across the Group and in order to automate the process of identification of Related Party Transactions (RP Transactions) and recording approvals thereof.
- 1.2 It is envisaged that transactions with Related Parties will be recorded in the proposed system prior to their execution, which shall trigger notifications for approvals in line with the workflows defined, and accordingly the system will update status of the transaction in the system as “Awaiting approval”, “Escalated”, “Approved”, “Rejected” or “Released to RP Register”.
- 1.3 The system shall be concurrently usable by multiple users across different entities in DI Group.
- 1.4 Details of the functional requirements of such a Related Party Register and approvals of related transactions are described in the following sections.

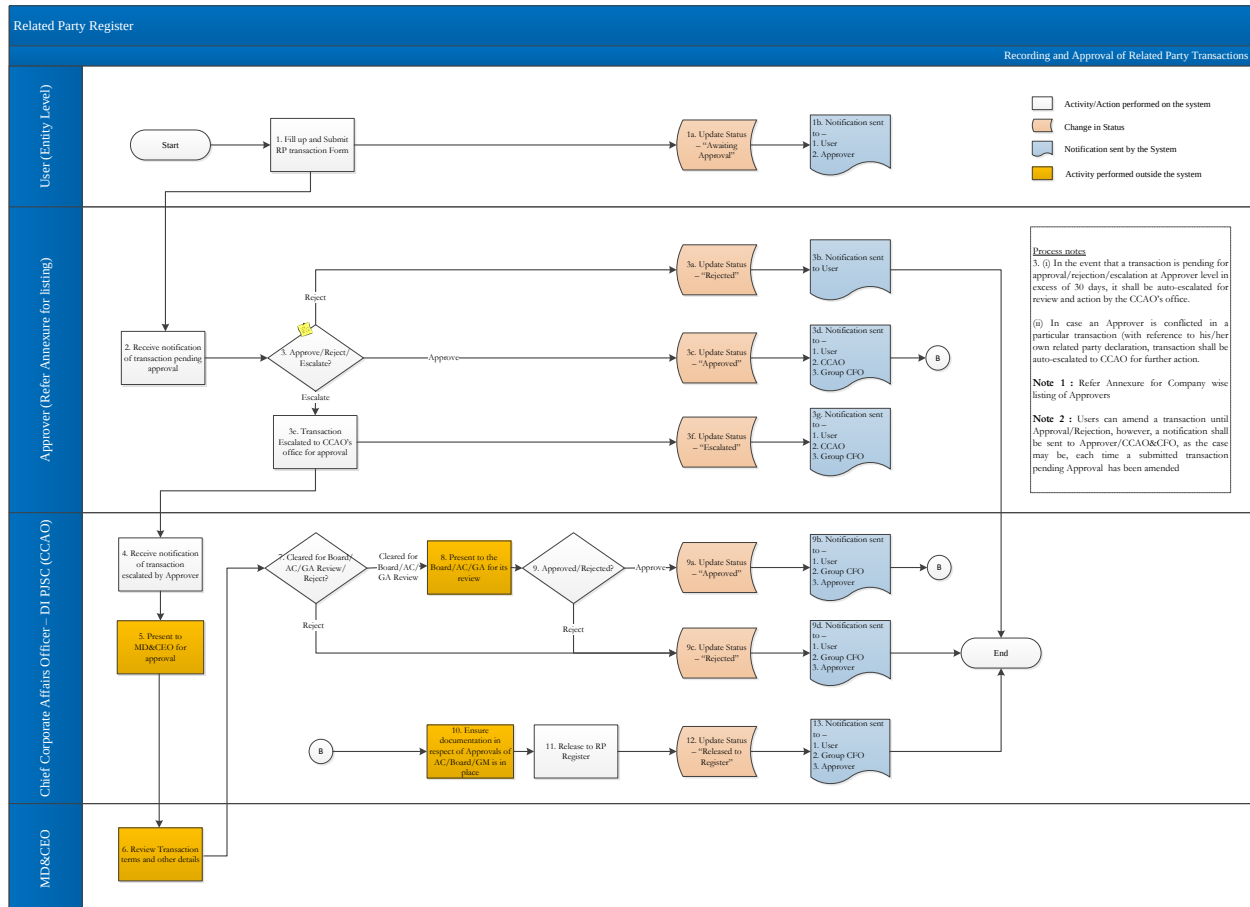
2 Maintenance of Related Party Master

Policies

- 2.1 Corporate Affairs Department shall be responsible for maintaining the Related Party Listing and sharing the same with IT department for updates to the Master listing.

3 Recording and Approval of Related Party Transactions

3.1 Workflow



3.2 Field Rules

✓	Mandatory
□	Optional
	Button

1. User – Recording RP Transaction

	Fields	Field Rules	Field Type	Dependency	Field Rule Remarks
	<u>Details of Requestor:</u>				
✓	Entity	Auto-filled; Non- Editable		Login credentials of User	To be auto-filled based on details of user accessing the system
✓	User	Auto-filled; Non- Editable		Login credentials of User	To be auto-filled based on details of user accessing the system
	<u>Details of Transaction:</u>				
✓	Name of the counter-party	Editable	Drop-down		Related Party Master
✓	Transaction Value	Editable	Numeric		Value to be greater than 0
✓	Description of the transaction, including material terms and conditions	Editable	Text		
✓	Date of request	Auto-filled; Non- Editable	Date		Capture system date
	Submit		Clickable Button	Clickable only after all mandatory fields have been filled up	System to show up error notification if mandatory fields have not been filled up

2. Approver – RP Transaction Approval/Escalation/Rejection

	Fields	Field Rules	Field Type	Dependency	Field Rule Remarks
	<u>Details of Requestor:</u>				
✓	Entity	Auto-filled; Non- Editable			To be auto-filled based on latest version of information entered in form <Recording RP Transaction>
✓	User	Auto-filled; Non- Editable			
	<u>Details of Transaction:</u>				
✓	Name of the counter-party	Auto-filled; Non- Editable			
✓	Transaction Value	Auto-filled; Non- Editable			
✓	Description of the transaction, including material terms and conditions	Auto-filled; Non- Editable			
✓	Date of request	Auto-filled; Non- Editable			
	<u>Approver Action:</u>				
✓	Remarks	Editable	Text		Free text field
✓	Date	Auto-filled; Non- Editable	Date		Capture system date
	Approve		Clickable Buttons	One of the three buttons clickable only after all mandatory fields have been filled up	System to show up error notification if mandatory fields have not been filled up. Either one of the two buttons may be clicked.
	Escalate				
	Reject				



3. Chief Corporate Affairs Officer – RP Transaction Approval/Rejection based on MD&CEO/AC/Board/GA feedback

	Fields	Field Rules	Field Type	Dependency	Field Rule Remarks
	<u>Details of Requestor:</u>				
✓	Entity	Auto-filled; Non- Editable			To be auto-filled based on <i>latest version</i> of information entered in form <Recording RP Transaction>
✓	User	Auto-filled; Non- Editable			
	<u>Details of Transaction:</u>				
✓	Name of the counter-party	Auto-filled; Non- Editable			
✓	Transaction Value	Auto-filled; Non- Editable			
✓	Description of the transaction, including material terms and conditions	Auto-filled; Non- Editable			
✓	Date of request	Auto-filled; Non- Editable			
	<u>Approver Action:</u>				To be auto-filled based on information entered in form <Approver – RP Transaction Approval/ Escalation/Rejection>
✓	Action (<i>Approval/Escalation</i>)	Auto-filled; Non- Editable			
✓	Date	Auto-filled; Non- Editable			
✓	Remarks	Auto-filled; Non- Editable			
	<u>CCAO Action:</u>				
✓	Remarks	Editable	Text		Free text field
✓	Date	Auto-filled; Non- Editable	Date		Capture system date
	Approve*		Clickable Buttons	One of the three buttons clickable only after all mandatory fields have been filled up	System to show up error notification if mandatory fields have not been filled up. Either one of the two buttons may be clicked.
	Reject				
*Approval is conditional on activities required to be performed outside the system detailed in Section 3.5 .					

4. Chief Corporate Affairs Officer – RP Transaction Release to RP Register

	Fields	Field Rules	Field Type	Dependency	Field Rule Remarks
	<u>Details of Requestor:</u>				
✓	Entity	Auto-filled; Non- Editable			To be auto-filled based on <i>latest version</i> of information entered in form <Recording RP Transaction>
✓	User	Auto-filled; Non- Editable			
	<u>Details of Transaction:</u>				
✓	Name of the counter-party	Auto-filled; Non- Editable			
✓	Transaction Value	Auto-filled; Non- Editable			
✓	Description of the transaction, including material terms and conditions	Auto-filled; Non- Editable			
✓	Date of request	Auto-filled; Non- Editable			To be auto-filled based on information entered in form <Approver – RP Transaction Approval/ Escalation/Rejection>
	<u>Approver Action:</u>				
✓	Action (Approval/ Escalation)	Auto-filled; Non- Editable			
✓	Remarks	Auto-filled; Non- Editable			
✓	Date	Auto-filled; Non- Editable			To be auto-filled based on information entered in form <CCAO – RP Transaction Approval/Rejection>
	<u>CCAO Action:</u>				
✓	Action (Approval)	Auto-filled; Non- Editable			
✓	Remarks	Auto-filled; Non- Editable			
✓	Date	Auto-filled; Non- Editable			
✓	All documentation in respect of approvals obtained from AC/Board/GM is in place for proposed RP transaction	Checkbox; Editable	Checkbox		
	Release to RP Register		Clickable Buttons	Clickable only after checkbox has been checked	System to show up error notification if checkbox has not been checked

3.3 Notifications sent by the System

Auto-generated notifications shall be sent out by the system to users in line with workflow in [Section 3.1](#). Each such notification shall contain a common body, and notification specific to stage of approval as per workflow.

Users shall be able to amend a transaction until Approval/Rejection by Approver/CCAO, however, a notification shall be sent to Approver/CCAO&CFO, as the case may be, each time a submitted transaction pending Approval/Rejection has been amended by the User.

3.3.1 Common body included in all notifications:

S.no.	Particulars	Source
Details of Requestor		
1	Entity	To be auto-filled based on <i>latest version</i> of information entered in form <Recording RP Transaction>
2	User	
Details of Transaction		
1	Counter-party	To be auto-filled based on <i>latest version</i> of information entered in form <Recording RP Transaction>
2	Transaction Value	
3	Description of the transaction, including material terms and conditions	
4	Date of request	
Details of Approver Action		
1	Action (<i>Approval/Escalation/Rejection</i>)	To be auto-filled based on <i>latest version</i> of information entered in form <Approver – RP Transaction Approval/ Escalation/Rejection>
2	Remarks	
3	Date	
Details of CCAO Action		
1	Action (<i>Approval /Rejection</i>)	To be auto-filled based on <i>latest version</i> of information entered in form <Chief Corporate Affairs Officer – RP Transaction Approval/Rejection>
2	Remarks	
3	Date	



3.3.2 Notification specific to status/stage of approval

Workflow ref.	Notification recipient	Transaction Status	Notification Text
1b.	User	Awaiting approval	Stated RP Transaction logged by you is currently Awaiting Approval . Transaction is not to be executed prior to obtaining approval.
	Approver	Awaiting approval	Stated RP transaction has been logged and is Awaiting Approval at your level.
3b.	User	Rejected	Stated RP transaction has been Rejected . User shall not execute.
3d.	User	Approved	Stated RP transaction has been Approved . User may go ahead with execution.
	CCAO	Approved	Stated RP transaction has been Approved by Approver to be at arm's length, ensure necessary approvals for RP transactions are obtained in line with regulatory requirements.
	Group CFO	Approved	Stated RP transaction has been Approved by Approver to be at arm's length, necessary approvals for RP transactions are pending to be obtained in line with regulatory requirements.
3g.	User	Escalated	Stated RP transaction is currently awaiting approval and has been Escalated for further review. Transaction is not to be executed prior to obtaining approval.
	CCAO	Escalated	Stated RP Transaction has been Escalated by Approver for review and approval by your office.
	Group CFO	Escalated	Stated RP Transaction has been Escalated by Approver for review and approval by the CCAO's office.
9b.	User	Approved	Stated RP transaction has been Approved . User may go ahead with execution.
	Group CFO	Approved	Stated RP transaction has been Approved and notified to the stated user.
	Approver	Approved	Stated RP transaction has been Approved and notified to the stated user.
9d.	User	Rejected	Stated RP transaction has been Rejected . User shall not execute.
	Group CFO	Rejected	Stated RP transaction has been Rejected and notified to the stated user.
	Approver	Rejected	Stated RP transaction has been Rejected and notified to the stated user.
13.	User	Released to RP Register	Approvals in line with regulatory requirements have been obtained for the above RP transaction and all documentation made available. Accordingly, the stated RP transaction has been entered into the RP Register.
	Group CFO	Released to RP Register	Approvals in line with regulatory requirements have been obtained for the above RP transaction and all documentation made available. Accordingly, the stated RP transaction has been entered into the RP



Workflo w ref.	Notification recipient	Transaction Status	Notification Text
			<i>Register.</i>
	Approver	<i>Released to RP Register</i>	<i>Approvals in line with regulatory requirements have been obtained for the above RP transaction and all documentation made available. Accordingly, the stated RP transaction has been entered into the RP Register.</i>

3.3.3 Reminder notifications and actions

1. Reminder notifications are system-generated email notifications that shall be sent to Approver/CCAO/Group CFO (depending on stage of approval) in event that a transaction is pending for review and action in excess of seven (7) days, and will continue weekly, thereafter.
2. In the event that a transaction is pending for review and action at Approver level in excess of 30 days, it shall be auto-escalated for review and action by the CCAO's office. A notification shall be sent to the Approver, CCAO and Group CFO for this purpose.
1. In case an Approver is conflicted on a particular transaction (with reference to his/her own related party declaration) transaction shall be auto-escalated to CCAO's office for further action.
3. Reminder notifications shall include common body for notifications ([Refer Section 3.3.1](#)) and text shown below:

Work flow ref.	Trigger	Notification recipient	Notification Text
2.	(i) Completion of 7 days from date of submission of RP Transaction form by User, and weekly thereafter, until 30 days (auto-escalation)	Approver	Reminder: Stated RP transaction has been logged and is awaiting review and further action at your level.
	(ii) Completion of 30 days from date of submission of RP Transaction form by User resulting in Auto-escalation of the proposed RP transaction	Approver	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action by the CCAO and CFO on the expiry of 30 days since date of submission of RP Transaction by user.
		CCAO	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action at your level on the expiry of 30 days since date of submission of RP Transaction by user.
		Group CFO	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action by the CCAO's office on the expiry of 30 days since date of submission of RP Transaction by user.
	(iii) Approver is conflicted in a particular transaction (with	Approver	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action by the CCAO and CFO as a result of a conflict of interest at your level.



Work flow ref.	Trigger	Notification recipient	Notification Text
	reference to his/her own related party declaration)	CCAO	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action at your level as a result of a conflict of interest at Approver's level.
		Group CFO	Auto-escalation: Stated RP transaction has been auto-escalated for review and further action by the CCAO's office as a result of a conflict of interest at Approver's level
4.	Completion of 7 days from date of escalation of RP Transaction by Approver, and weekly thereafter	CCAO	Reminder: Stated RP transaction has been logged and is awaiting review and further action at your level.
		Group CFO	Reminder: Stated RP transaction has been logged and is awaiting review and further action by CCAO's office.

3.4 Reports

3.4.1 Register of RP Transactions - Transactions with “Released to RP Register” status

Field Name	Entity	Requestor	Name of the counter-party	Transaction Value	Description of the transaction, including material terms and conditions	Date of request	Approver Action	Remarks	Date	CCAO Action	Remarks	Date
Remarks	To be populated based on <i>latest version</i> of information entered in form <Recording RP Transaction>						To be populated based on information entered in form <Approver – RP Transaction Approval/ Escalation/Rejection>			To be populated based on information entered in form <CCAO – RP Transaction Approval/Rejection>		

Note:

- Above report/register should contain an option to be exported into excel
- Report should contain an option to be generated for a particular period based on date of CCAO approval, date of request, date of release to RP register

3.4.2 RP Transactions Pending approval - Transactions with “Escalated” status

Field Name	Entity	Requestor	Name of the counter-party	Transaction Value	Description of the transaction , including material terms and conditions	Date of request	Approval Action	Remarks	Date	CCAO Approval / Rejection	Remarks	Date
Field Definition	To be populated based on <i>latest version</i> of information entered in form <Recording RP Transaction>						To be populated based on information entered in form <Approver – RP Transaction Approval/ Escalation/Rejection>			To be populated based on information entered in form <CCAO – RP Transaction Approval/Rejection>		

3.5 Key Offline activities

3.5.1 Key offline activities to be undertaken by Approvers and CCAO prior to Approval/Rejection/Escalation:

- Approvers - Refer [Section 4.1 and 4.2](#) of *Conflict of Interest and Related Party Manual*
- CCAO – Refer [Section 4.4 – 4.10](#) of *Conflict of Interest and Related Party Manual*

3.5.2 Detailed descriptions of the proceedings of such offline activities will be mandatorily entered into the Remarks field in the forms prior to any Approval/Rejection/Escalation by the Approvers and CCAO.

3.5.3 System approvals by the Approvers and CCAO are intended to be administrative in nature and do not substitute execution of the abovementioned offline activities required for ensuring compliance with regulatory requirements.

4 Addendum 1 (July 2018)

4.1 Amendment to existing process:

- 4.1.1 Finance Director, as the first-level Approver of RP transactions has been replaced by different individuals depending on the entity in which the RP transaction has originated (refer [Annexure](#) for list of Approvers by entity).
- 4.1.2 Abovementioned Approvers can either “Approve” or “Reject” an RP transaction at their level. (previously option was only given to Approve/Escalate/Return for Amendment)
- 4.1.3 Return for Amendment has been removed from the system as an action. Consequently, it is no longer a separate system status for a transaction. Users shall be able to amend a transaction until Approval/Rejection by Approver/CCAO, however, a notification shall be sent to Approver/CCAO&CFO, as the case may be, each time a submitted transaction pending Approval/Rejection has been amended by the User.
- 4.1.4 An additional action is required to be performed by the CCAO after a transaction has been “Approved” by Approver/CCAO that changes status of transaction to “Release to RP Register”.
- 4.1.5 Refer [Section 3.1](#) for updated workflow. Refer [Section 3.2](#) for updated forms and [Section 3.3](#) for updated notifications reflecting option to “Reject” at Approver level, removal of “Return for Amendment” option and additional action required for “Release to RP Register”.

4.2 New feature:

- 4.2.1 In case an Approver is conflicted on a particular transaction (link to his/her own related party/COI declaration made in the system) transaction shall be auto-escalated to CCAO’s office for further action. (Refer [Section 3.3.3](#) for notifications that will be sent out in this regard)
- 4.2.2 In case related party declarations of Approvers are not obtained via the RP/COI declaration module in the system, such information will be provided to IT by the CCAO’s office, and IT shall update such information in the RP/COI declarations database within the system.

5 Addendum 2 (Nov 2018)

5.1 The following enhancements are required:

- 5.1.1 Related Party/ Insider Masters – Both Masters to be populated with the users who have access to the respective Declaration modules. Each user to be tagged as ‘Individual’ and ‘[Company Name]’ in the Master.
- 5.1.2 User Additions/ Deletions (Change Management Process) – On a monthly basis, secure the user additions and deletions from relevant Techsource staff and seek approval from CCAO for accordingly updating the user master. In addition, incorporate a standard Change Report with the above mentioned user additions/ deletions with the following three fields (Name, Company, Designation) which can be used for this Change Management process on a monthly basis.
- 5.1.3 Delegation for inputting on behalf of Board members.
- 5.1.4 Broadcast message (Automated) – An automated Broadcast message to be sent to all Insiders, 15 days prior to end of each Quarter.
- 5.1.5 Broadcast message (Manual) – Feature to allow an identified user to broadcast a message on a custom date.
- 5.1.6 Insider Trades Verification – Feature to allow upload of DFM Trades data (standard template will be provided by Eman) to check trades against the Insider NIN submissions within a specified date range.

6 Addendum 3 (Dec 2018)

- 6.1 The following additional requirements were communicated by the Corporate Affairs and Internal Control Office
- 6.1.1 Feature to allow multiple NIN submissions for Users and for Relatives (all Insiders). Each NIN to be recorded as a separate entry to allow lookups against DFM trades, as per feature defined in 5.1.6
 - 6.1.2 Given multiple NINs for an Insider, the Insider Register should filter for duplicate Insiders and report only Unique Insiders
 - 6.1.3 Another source of duplicate entries is the presence of Relatives in the DI Employee/ Board Member listing (Insider Declaration User listing). Again, only unique entries to be displayed in the Insider Register based on the following priority: Board Member -> DI Employee -> Relative
 - 6.1.4 Change log of all additions/ changes/ updates in Masters/ MDM module to be maintained
 - 6.1.5 All Reports generated shall be available in a Reports Database, i.e. access to historical reports. This shall also include all Reports generated from the NIN Lookup tool.

Annexure – Approvers by Company

Sno.	Sector/Group	Company	JV/Associate/Sub-Holding/Subsidiary	Approver
1.	Real Estate	Dubai Investments Park	Subsidiary	CEO – RE
2.	Real Estate	Dubai Investments Real Estate Company	Subsidiary	CEO – RE
3.	Real Estate	Al Mujamma Real Estate	Subsidiary	CEO – RE
4.	Real Estate	Al Taif Investment	Subsidiary	CEO – RE
5.	Real Estate	Properties Investment	Subsidiary	CEO – RE
6.	Real Estate	Palisades Development Company	JV	CEO – RE
7.	Real Estate	Dubai Investments International	Subsidiary	MD & CEO
8.	Building Materials	Dubai Investments Industries	Sub-Holding	CEO – BM
9.	Building Materials	Glass LLC	Sub-Holding	CEO – BM
10.	Building Materials	Emirates Float Glass LLC	Subsidiary	CEO – BM
11.	Building Materials	Emirates Glass LLC	Subsidiary	CEO – BM
12.	Building Materials	Saudi American Glass Company Limited	Subsidiary	CEO – BM
13.	Building Materials	Lumi Glass Industries LLC	Subsidiary	CEO – BM
14.	Building Materials	Emirates Insole LLC	Subsidiary	CEO – BM
15.	Building Materials	Emirates Building Systems	Subsidiary	CEO – BM
16.	Building Materials	Dubai Cranes and Technical Services	Subsidiary	CEO – BM
17.	Building Materials	Emirates Extruded Polystyrene	Subsidiary	CEO – BM
18.	Service Sector and Others	The Edible Oil Company	Subsidiary	MD & CEO
19.	Service Sector and Others	Modul University	Subsidiary	GM – DII
20.	Service Sector and Others	University of Balamand	Subsidiary	GM – DII
21.	Masharie	Masharie LLC	Sub-Holding	MD & CEO
22.	Masharie	Folcra Beach	Subsidiary	MD & CEO
23.	Masharie	White Aluminium Extrusion	Subsidiary	GM – Masharie
24.	Masharie	Emirates Extrusion Factory	Subsidiary	GM – Masharie
25.	Masharie	Gulf Dynamic Services	Subsidiary	GM – Masharie
26.	Masharie	Lite-tech industries	Subsidiary	GM - Masharie
27.	Masharie	Gulf Metal Craft (GMC)	Subsidiary	GM – Masharie
28.	Masharie	Gulf Dynamic Switchgears	Subsidiary	GM – Masharie
29.	Masharie	Labtech Interiors	Subsidiary	GM – Masharie
30.	IMGE	Al Mal Capital	Subsidiary	Chairman – AMC
31.	IMGE	Emicool	Subsidiary	Chairman - Emicool



Sno.	Sector/Group	Company	JV/Associate/Sub-Holding/Subsidiary	Approver
32.	Dubai Investments PJSC	HR & Admin	DI PJSC Department	MD & CEO
33.	Dubai Investments PJSC	Marketing & Communications	DI PJSC Department	MD & CEO
34.	Dubai Investments PJSC	Corporate Affairs	DI PJSC Department	MD & CEO
35.	Dubai Investments PJSC	Internal Controls	DI PJSC Department	MD & CEO
36.	Dubai Investments PJSC	Group Finance	DI PJSC Department	MD & CEO
37.	Dubai Investments PJSC	IT	DI PJSC Department	MD & CEO